

The Life-Changing Magic of Values-Based Spending

As with any skill, there are sub-skills you can learn to get better. Communication, for example, is an essential life skill. But being able to hold a conversation doesn't automatically make you a great communicator. You also need to improve sub-skills like listening, nonverbal communication, empathy, and confidence. Having money and whipping out a credit card doesn't make you a great spender (despite what capitalism has led us to believe). To improve your spending, you need to brush up on a variety of skills, like problem solving, decision making, creativity, and planning, among others.

And because this collection of skills is so different from the spending you're used to, we made up a whole new name for it: values-based spending.

The goal of values-based spending is to spend without guilt on what you love and build the right barriers to say no to what you don't. It emphasizes finding what matters most to you, on a macro and micro level, and prioritizing spending on or saving for those things. And oftentimes the best way to learn what matters most is to first define the things that don't matter.

With any skill, knowing what to do and how to do it are two different things. It's a simple concept, but simple doesn't mean easy.

When's the last time you sat down and decided what you value? Never? You're not alone. Figuring out what's worth spending on isn't like preferring mint chocolate chip to Grey Poupon ice cream. Defining what you value and don't value is like lining up one hundred delicious ice cream flavors and having to choose your favorites. Every day. There will probably be thirty to forty flavors you like, but some days you can only choose four or five, and other days you'll only be able to pick one, and the one you want most may not be in stock. And as time goes on, your favorites will change for no reason. Life isn't a Baskin-Robbins, but practicing values-based spending will feel a lot like taste testing. In this book, we want to give you the space (and the spoon?) to try new things.